Pre-Independence Industrialization

Basking in the riches of its agricultural economy or steeped in the traditions of an agricultural economy, India ignored the industrial revolution in much of the eighteenth century and first half of the nineteenth century.

The country's large, thriving clothmaking industry had been operating successfully for centuries and its exquisite handlooms and handicrafts were renowned the world over. India's pre-industrial textile industry faced its first real challenge only in the early nineteenth century when cheaper mill cloth started arriving at Indian ports from Britain.

As the cloth that came from Britain used cotton from India, it dawned on British entrepreneurs, as well as some Indian ones, that it would make economic sense to make yarn in India. The first Indian cotton yarn-making factory is said to have been established in 1818. Gradually, Indian entrepreneurs progressed along the value chain; India's first cotton textile mill was established in 1854 in Bombay (now Mumbai). From then on, India's cotton textile industry started growing.

Though some other consumer industries did develop in the pre-Independence period, the First Plan rightly noted the 'relative backwardness of industrial development in India' judged by the fact that 'in 1948–49, factory establishments accounted for only 6.6 per cent of the national income'. It further noted that prior to World War I, the only major industries that had developed substantially were cotton and jute textiles.

At the time of Independence, it is estimated that India's share of global GDP had declined to only about 4 per cent from close to 20 per cent during the Mughal period, and the share of Indian industry as a proportion of global industrial output was less than 2 per cent.